
Stop Overpaying for Giant LLMs

- 1 Why Small Language Models (SLMs) win in production.
- 2 How to cut latency and cloud bills without losing accuracy.

The Overkill Bottleneck

- 1 Routing simple domain tasks to 70B+ models wastes budget.
- 2 High inference latency breaks real-time user experiences.

The Practical Fix: SLM + RAG

- 1 Host a compact 3B-7B model using engines like vLLM.
- 2 Fetch dynamic context via vector search.
- 3 Use the SLM purely as a fast, context-aware reader.

The Core Logic Pattern

- 1 Keep runtime logic lean and focused entirely on retrieved context.

main.py

```
def generate_answer(query):
    context = retrieve_context(query)
    prompt = f"Context: {context}\nQuery: {query}"
    inputs = tokenizer(prompt, return_tensors="pt")
    outputs = model.generate(**inputs)
    return tokenizer.decode(outputs[0], skip_special_tokens=True)
```

Real-World Engineering Gains

- 1 Drastically lower infrastructure and inference costs.
- 2 Full privacy and deployment freedom on private VPCs or edge hardware.

The Takeaway

- 1 Default to domain SLMs for 90% of repeatable tasks.
- 2 Follow Srijan Verma for pragmatic backend and AI architecture.

